WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

NORTH KOREA

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Pyongyang	Capital and seat of the State Affairs Commission, the Cabinet and the central bank; centre of state planning under the five-year plan adopted at the Ninth Party Congress in February 2026	No lawful foreign investment at present; background knowledge only: administration, construction, services
Sinuiju / Yalu River crossings (China border)	The existing Dandong–Sinuiju bridge carries over 70% of official China trade, and the four-lane New Yalu River Bridge opened on 15 October 2026 after a 12-year delay	Monitoring of border trade flows; logistics readiness should sanctions ever be lifted
Rason Economic and Trade Zone (north-east)	Zone established in 1991 bordering China and Russia, with Rajin port (about 3 million tonnes capacity) and the Novichenko road bridge to Russia, opened in September 2026	Background for future readiness: port, rail and road logistics; currently covered by the UN joint-venture ban
Wonsan-Kalma (east coast)	Large coastal resort opened in July 2025, receiving domestic and Russian tourists; Russian group tourism has run since February 2024	Tourism background only; US passports are invalid for DPRK travel until August 2027
Kaesong Industrial Complex (southern border)	Former inter-Korean manufacturing zone, closed by South Korea in February 2016; a reference case for how cross-border industrial cooperation could be structured after normalisation	Historical precedent for light manufacturing; no current activity
Regional development sites (20 cities and counties a year)	State programme building modern hospitals and public facilities, which lifted construction growth to 6.3% in 2025	Indicator of domestic priorities; no foreign participation permitted
Mining and industrial regions (nationwide)	Mining and manufacturing account for about 30.1% of GDP, but exports of coal, iron, minerals and machinery are prohibited under UN resolutions	Long-term resource assessment only, contingent on Security Council action

INVESTOR ENTRY ROUTES

- No lawful foreign investment route exists: UN Security Council resolution 2375 (2017) prohibits opening, maintaining or expanding joint ventures or cooperative entities with DPRK entities or individuals, and US, UK and EU measures add comprehensive national prohibitions

- UN humanitarian exemptions: the 1718 Sanctions Committee grants exemptions for assistance and relief under Implementation Assistance Notice No. 7, valid for nine months and covering up to three shipments, with experienced aid organisations able to apply directly
- United States: Executive Order 13722 prohibits new investment in North Korea and the export of goods and services by US persons; NGOs may use the OFAC general licence at 31 CFR 510.512 after notifying the State Department at least 30 days in advance
- United Kingdom: the DPRK (Sanctions) (EU Exit) Regulations 2019, administered by OFSI and the Department for Business and Trade, prohibit fund transfers to or from the DPRK, with licences available for relief activities benefiting civilians subject to UN approval; the EU applies Council Regulation (EU) 2017/1509
- Banking and repatriation: UN resolution 2321 required states to close bank offices and accounts in the DPRK except for humanitarian or diplomatic use and bars public and private financial support for trade, so no commercial payment or repatriation channel is available
- Readiness route: legacy frameworks such as the Rason zone and the Kaesong precedent provide reference points for planning, applicable only if the Security Council and national authorities lift the relevant measures

MARKET-ENTRY OBSERVATION

North Korea's economy has returned to steady growth despite comprehensive sanctions. The Bank of Korea estimates real GDP grew 3.5% in 2025, after 3.7% in 2024 and 3.1% in 2023, taking output above its 2017 level, with mining and manufacturing up 4.9% and construction up 6.3%; nominal gross national income was about $33.8 billion, around 1.8% of South Korea's. Trade with China, which accounts for about 98% of recorded external trade, rose 25% to $2.7 billion in 2025, back to pre-pandemic levels. Connectivity is expanding: a road bridge to Russia opened in September 2026 and the New Yalu River Bridge to China in October 2026, while Xi Jinping's June 2026 visit to Pyongyang and the five-year plan adopted at the Ninth Party Congress in February 2026 signal a focus on regional development and living standards. There is, however, no lawful foreign direct investment, and these estimates come from outside observers rather than published official statistics.

The defining structural reality for international investors is the sanctions framework. UN Security Council resolutions 1718, 2270, 2321, 2371, 2375 and 2397 prohibit joint ventures, most exports and imports, and financial support for trade, and the US, UK, EU and others add comprehensive national prohibitions. Recent growth has been linked by the Bank of Korea to cooperation with Russia, including weapons production and the deployment of around 15,000 troops, while the 11-country Multilateral Sanctions Monitoring Team reported in September 2026 that overseas labour earned $450–800 million in 2025 in breach of UN resolutions. For responsible investors the opportunity today is therefore limited and clearly defined: rigorous monitoring and supply-chain compliance, support for permitted humanitarian activity under UN exemptions, and long-term readiness should the Security Council ever lift sanctions.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
UN Security Council sanctions	Resolutions 1718 to 2397 prohibit joint ventures and cooperative entities, ban most DPRK exports, cap refined petroleum supplies at 500,000 barrels a year and bar financial support for trade	Do not invest or trade; obtain sanctions counsel and confine any activity to humanitarian work exempted by the 1718 Committee
US, UK and EU national sanctions	US persons are barred from new investment and exports under Executive Order 13722, and Executive Order 13810 allows sanctions on foreign banks facilitating DPRK trade; the UK and EU impose parallel prohibitions	Map any direct or indirect US, UK or EU nexus and treat secondary-sanctions exposure as a board-level compliance matter
Banking and payments	No commercial payment or repatriation channel exists; UK rules prohibit fund transfers to or from the DPRK and UN resolutions required closure of bank accounts in the country	Use only licensed humanitarian payment routes arranged through UN agencies or authorised banks

Issue	Potential Impact	Possible Mitigation
Sanctions evasion in supply chains and remote hiring	Allied monitors reported $2.84 billion in cryptocurrency theft from January 2024 to September 2025 and DPRK IT workers in at least eight countries	Strengthen KYC for remote contractors and digital-asset counterparties, and trace supply chains for DPRK-origin goods or labour; strong controls protect reputation
Military cooperation with Russia	Troop deployments and arms supply to Russia have deepened DPRK ties with a heavily sanctioned partner	Screen Russia-linked counterparties against both DPRK and Russia regimes, particularly in logistics and shipping
Access and personal safety	US passports are invalid for DPRK travel until 31 August 2027, and no international UN staff have been in the country since 2021	Avoid travel without specialist advice and support humanitarian aims through UN agencies and licensed NGOs
Limited data transparency	No official national accounts are published; growth figures are Bank of Korea estimates	Triangulate Bank of Korea, Chinese customs and monitoring-team data in any long-term readiness analysis

INVESTOR RISK NOTE

North Korea is closed to lawful foreign investment, and investors should treat this as a fixed legal boundary rather than a risk to be managed. UN Security Council resolutions 1718, 2270, 2321, 2371, 2375 and 2397 prohibit joint ventures and cooperative entities with DPRK entities, most trade and financial support for trade, and remain binding on all UN members even though the UN Panel of Experts' mandate ended in April 2024 after a Russian veto. The US prohibits new investment and exports by US persons and can sanction foreign banks that facilitate DPRK trade, while the UK and EU prohibit fund transfers and related dealings. The economy has grown for three consecutive years and new bridges to China and Russia have improved connectivity, but none of this creates a lawful entry point. Investors should obtain specialist sanctions advice, screen supply chains, remote contractors and Russia-linked counterparties for DPRK exposure, support humanitarian objectives only through UN-exempted and licensed channels, and maintain a monitoring and readiness position for any future Security Council decision to ease sanctions.

MARKET ACCESS

North Korea is not a member of the WTO or of any major trade bloc, and its external commerce is narrow: China accounted for about 98% of recorded trade in 2025, with wigs and hair products, worth $190.6 million, the largest export category permitted under UN rules. Most exports, including coal, iron, textiles, seafood and machinery, are prohibited by Security Council resolutions, and imports of refined petroleum are capped. Physical links are expanding, with the New Yalu River Bridge to Dandong opened in October 2026, direct flights and passenger trains to China resumed in 2026, and the Novichenko road bridge and an existing rail bridge connecting Rason with Russia. For international businesses, however, market access is effectively nil, and these corridors are best understood as indicators to monitor and as infrastructure relevant to any future normalisation.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President of the State Affairs (Kim Jong Un)	Supreme decision-making authority setting economic, defence and foreign policy, including the five-year plan adopted in February 2026	Reference point for monitoring policy direction only; no engagement with designated persons
Cabinet of the DPRK (Premier Pak Thae Song)	Administers economic planning and external economic relations, and represented the DPRK at the 2026 bridge openings with China and Russia	Background for readiness analysis; any contact requires prior sanctions advice
Central Bank of the DPRK	Monetary authority operating outside the international financial system under UN and national banking restrictions	No dealings permitted; relevant only to future normalisation scenarios
UN Security Council 1718 Sanctions	Oversees UN sanctions implementation	Primary reference for any permitted

Actor	Why It Matters	Waverley Engagement Angle
Committee	and grants humanitarian exemptions under Implementation Assistance Notice No. 7	humanitarian activity
US Treasury (OFAC) and State Department	Administer US DPRK sanctions, the NGO general licence and the passport restriction, and can target foreign banks facilitating DPRK trade	Essential compliance reference for any business with US exposure
UK OFSI and Department for Business and Trade; EU national authorities	Administer UK and EU financial and trade sanctions and licences for relief activities	Licensing counterparts for humanitarian support from UK and EU entities
UN Resident Coordinator and UN Country Team (based in Bangkok)	Coordinate UN programmes in the DPRK, operating remotely since 2021 with a limited national staff presence	Channel for supporting permitted humanitarian programmes

CURRENT INTERNATIONAL BUSINESS CHANNELS

There are no conventional business channels for foreign investors in North Korea: no international chambers of commerce, business councils or development finance institutions operate there, and the World Bank, IMF and regional development banks have no programmes. The relevant channels are compliance and monitoring sources: the UN 1718 Sanctions Committee and its implementation notices, OFAC and OFSI guidance, reports of the Multilateral Sanctions Monitoring Team established by 11 countries after the UN Panel of Experts lapsed, the Bank of Korea's annual estimates of the North Korean economy, and Chinese customs data. Humanitarian support can be channelled through UN agencies and licensed international NGOs, while specialist research institutes in Seoul, Washington and London provide continuing analysis useful for long-term readiness planning.

INVESTOR PROFILE BEST SUITED

North Korea is not open to commercial investors of any kind at present. The engagement profile is limited to humanitarian organisations and donors working under UN exemptions and national licences; compliance, risk and supply-chain teams at international companies, banks and digital-asset businesses that need to prevent indirect DPRK exposure; and long-horizon strategic investors, particularly those with Northeast Asian logistics, infrastructure or resource interests, who wish to maintain scenario planning and institutional knowledge for any future Security Council decision to ease sanctions.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Obtain specialist sanctions advice and confirm the legal boundary
Commission counsel covering UN, US, UK and EU measures to confirm that no investment, trade or financial dealings with DPRK persons are permitted for your organisation.

STEP 2: Screen supply chains, contractors and counterparties for indirect exposure
Apply enhanced checks for DPRK-origin goods, overseas DPRK labour, remote IT workers and digital-asset counterparties, including Russia- and China-linked logistics partners.

STEP 3: Channel humanitarian support only through exempted and licensed routes
Support relief through UN agencies or NGOs holding 1718 Committee exemptions and the relevant OFAC, OFSI or EU licences.

STEP 4: Establish a structured monitoring programme
Track Security Council decisions, Multilateral Sanctions Monitoring Team reports, Bank of Korea estimates, Chinese customs data and border-infrastructure developments.

STEP 5: Maintain a long-term normalisation readiness plan
Keep scenario analysis on logistics, resources and light manufacturing up to date, drawing on precedents such as Rason and Kaesong, without engaging DPRK counterparts unless and until sanctions are lifted.